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Race, Class, and Neopatrimonialism in Zimbabwe

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In an effort to explain post-1989 democratization in Africa, recent studies have focused on the role of civil society, revealing that this often vibrant center can form the basis for transitions to democratic rule.[1] Despite this finding, transitions have not been sustained. We now know that such an exclusive focus on civil society—particularly on voluntary associational groupings—is misplaced; the emergence of strong civic institutions and nonstate actors is but one component of democratic transitions.[2] This chapter suggests that independent development of the middle class, with its potential to weaken undemocratic, neopatrimonial regime structures, has important and often overlooked implications for economic and political liberalization in Africa.[3]

Scholars of African studies initially denied the significance of class in the 1960s, then shifted to an overriding preoccupation with it in the 1970s.[4] In recent years, class has again been relegated to the back burner. We need to consider a return to the fundamental issues of class development, class consciousness, and the role that class plays in sustaining, or frustrating, democratic governance. This analysis endeavors to refocus on the issue of class by drawing on the case of Zimbabwe.

Many scholars have addressed the emergence of class consciousness in Africa.[5] However, the development and growth of classes has frequently been stunted, and the bourgeois classes that have developed are generally "parasitic" in nature; that is, they are dependent on the state and are probably incapable of reproducing themselves as classes.[6] The Zimbabwean case suggests that three variables combine to retard independent middle-class formation: co-optation of key indigenous (i.e., black) economic actors; an alliance between the state and settler (i.e., white) capital; and deliberate suppression of would-be middle-class elements. Although only a few

African states share a history similar to that of Zimbabwe, this analysis posits that the "suppression" of middle classes may be a common experience on the continent that inhibits the development of more democratic modes of governance.

A reexamination of the middle-class strata and its possible suppression offers a partial explanation for the persistence of neopatrimonial rule and the formation of illiberal but nominally democratic regimes in Zimbabwe and elsewhere. Michael Bratton and Nicolas van de Walle define neopatrimonial regimes as those governed by personal patronage, rather than ideology or rule of law, where the achievement of personal wealth and status by "big men" becomes an accepted rationale for public office. In return for patronage, clients mobilize support for officeholders.[7] Neopatrimonial regimes facilitate and strengthen the development of a dependent, state-based capitalist class—a "bureaucratic bourgeoisie"—rather than an independent class. The prevalence of neopatrimonial rule thus has negative implications for the developmental prospects of Zimbabwe and other African states. Transitions to more liberal regimes are put at risk, or they may never occur at all, because "personal rulers are sensitive to threats to their authority. [As a result,] they set about weakening all independent centers of power."[8]

Despite the large number of transitions that have taken place in Africa, many (perhaps most) have failed to inculcate the norms of democracy. Because it is not technically "authoritarian," Zimbabwe is not among those states that have recently experienced a transition, but it nevertheless shares an inability to entrench democratic values. Labeling Zimbabwe's regime as "neopatrimonial" contradicts Bratton and van de Walle's classification of the country as a "multiparty polyarchy" in the sense conveyed by Robert Dahl.[9] Bratton and van de Walle construct a useful model, and they recognize that all regimes have some neopatrimonial characteristics, but based on Dahl's parameters of participation and contestation, it is clear that Zimbabwe is multiparty and polyarchic in name only. Participation by opposition candidates and their supporters and potential supporters is severely proscribed, and the ruling party uses intimidation, harassment, and fraud to restrict participation by "unfriendly" political interests. The government also uses the machinery of the state to minimize and marginalize opposition parties. For example, the ruling party, the Zimbabwe African National Union (Patriotic Front) (ZANU[PF]), has received Z$30 million in campaign funds from public sources that it has refused to make available to opposition groups. Moreover, the party uses the state-owned media to broadcast its partisan message, and it has also resorted to electoral fraud.[10] The absence of real choice has contributed to annual declines in voter participation.[11]

It is therefore necessary to adapt Bratton and van de Walle's model to

fit both the post-1989 period in general and the Zimbabwean case in particular. If not, their logic implies that other tenuous but nominally "democratic" regimes, such as Kenya and Zambia, would also have to be characterized as multiparty polyarchies.[12] For these countries, as well as Zimbabwe, such a categorization would be inconsistent with Dahl's usage, as it fails to take account of important contextual variables and the continued prevalence of neopatrimonialism.

The Middle Class and Neopatrimonial Regimes

There has been an ongoing debate in the literature about the properties, characteristics, and capabilities of the middle class and its democratizing role. A number of scholars, including C. Wright Mills and Rueschemeyer, E. H. Stephens, and J. D. Stephens, contend that the pro-democracy role of the bourgeois or middle classes cannot be assumed. Rather, it depends on "will, know-how, objective opportunity, and organization," each of which is constrained by other factors.[13] As Mills observes, the middle class can be a source of Nazi accomplices as easily as it can foster liberal ruling classes.

Rueschemeyer and colleagues express similarly pessimistic views regarding the democratic credentials of the middle class. Using a comparative historical model that focuses on European, Latin American, and Caribbean democratization, the authors build on Moore's well-known treatise, but disagree with his thesis that a bourgeois class is a prerequisite for democratization. They conclude that "the middle classes played an ambiguous role in the installation and consolidation of democracy."[14] The authors instead contend that it is the *working* class that forms the mobilizing force behind democratic transitions, although it may do so in concert with the middle class. In this view, the middle class neither takes the leading role in, nor is necessarily even supportive of, the process of democratization.

In contrast, some other scholars regard the middle class as the bearer of a democratic-rational worldview that encompasses a belief in the rule of law, respect for property rights, a demand for participation and choice, and an interest in limiting political power and tenure.[15] Middle-class elements can thus play an important role in shaping political transitions. However, we need not assign qualities of magnanimity to the capitalist classes in order to explain their possible support for political liberalization. Instead, middle-class elites may be "backed into" democracy. In a study of three Latin American cases, Catherine Conaghan demonstrates that the commitment to democracy among bourgeois elements was abstract and ambivalent: business elites supported democracy because their interests and property rights were more threatened by autocratic regimes.[16] This view is supported by Bratton and van de Walle, who argue that

> during transitions from neopatrimonial regimes, middle-class elements align with the opposition. . . . The weak national bourgeoisies of Africa are frustrated by state ownership, over-regulation, and official corruption. . . . [Further,] businessmen and professionals often take on political leadership roles in the opposition, drawing in other middle-class groups, like public servants, whose downward economic mobility is a powerful impetus to forge an alternative ruling coalition.[17]

The difficulty that Africanist scholars face in applying the "models" suggested by this diverse literature stems from three factors. First, we cannot always agree on what the "bourgeoisie" (or middle class) *is*—especially in different international contexts. Second, the policies of many African states have fostered the growth of "state bourgeoisies," rather than independent capitalist classes. Finally, even if such classes emerge, we cannot predict how they will define their role in relation to the state.

As a result of this quandary, we are forced to make several a priori assumptions about the contributions and potential contributions of the middle class in a developing polity. First, an independent middle class will likely be a force for democratization and representation—if it is allowed free expression and political space to emerge. Second, the absence of a middle class tends to preserve the status quo in Africa, allowing the persistence of the neopatrimonial regime model. Third, as has been argued effectively elsewhere, neopatrimonial regimes are an obstacle to liberal democracy, or at least to multiparty polyarchy.[18] This is not to suggest that all countries that possess a middle class will be democratic. Rather, I argue in favor of the far more modest proposition that the middle class has been inhibited in Zimbabwe—in both its emergence and its interest articulation—as it has elsewhere in Africa, and that this, in turn, has implications for the perseverance of entrenched neopatrimonial systems.

Explaining the Failure of Middle-Class Development in Zimbabwe

Conceptual difficulties notwithstanding, does a middle class even *exist* in Zimbabwe? And if so, what evidence is there to suggest that it might play a pro-democracy role? As Hyden notes, "the existing inequalities in Africa are not crystallizing into class consciousness."[19] However, as the work of both Moore and Rueschemeyer and colleagues demonstrates, the evolution of a bourgeois capitalist class is a long-term prospect, perhaps measured in centuries, not decades.[20] Bourgeois development has been doubly frustrated in Africa by colonialism's restrictions on indigenous capitalists and by the independent governments themselves. Although the contemporary states inherited bourgeois-capitalist structures from the colonial powers, many

resisted independent capitalist class development as they either pursued "African socialism" or adhered to neopatrimonial practices.

Zimbabwe is perhaps peculiar among African states owing to the continued presence of a powerful settler minority, its comparatively recent political independence, and its relative ethnic homogeneity.[21] What is not altogether unique, however, is Zimbabwe's inability (or unwillingness) to develop a viable, independent, and indigenous African middle class, and this is a major part of efforts to preserve ZANU(PF)'s one-party rule and continue building a widespread patronage network. Other states in Africa, despite having ostensibly democratic institutions, have also failed to entrench democracy, perhaps for similar reasons. The Zimbabwean case has implications for democratic stability elsewhere, especially in South Africa, a country whose future will be affected in part by its ability to engender the growth of its own African middle class. The case is also relevant in Kenya, which, though no longer home to a large European settler population, also possesses a large, nonindigenous business class. As is the case with white settlers in Zimbabwe, the much-heralded Kenyan capitalism would be moribund without the Indian "national" bourgeoisie.[22]

While there are several indicators of a middle-class presence in Zimbabwe, and while individuals evincing "typical" middle-class values, aspirations, and socioeconomic status are present, they exhibit little *group* consciousness, particularly when it comes to demonstrable political preferences.[23] In order to translate these intangible qualities into a more useful measure, 1992 census data was used to establish a proxy for "middle class" by accounting for education, employment category, and employment status.[24]

According to the 1992 census, there are approximately 314,000 educated (i.e., completed at least primary school), nonwhite adults in Zimbabwe who are owners, managers, or white-collar employees.[25] This represents 11 percent of the "economically active population" of 3.5 million people, out of a total population of 10.4 million.[26] Another means for assessing the size of the bourgeoisie (specifically based on ownership) is industrial concentration.[27] In Zimbabwe, 50 percent of manufactured output is accounted for by just three firms,[28] while within commercial agriculture, the economy's second leading sector, roughly 4,000 white farmers own 27 percent of the country's farmland. These figures suggest that ownership of the means of production is not well distributed.

This data, albeit imperfect, is not indicative of a large societal grouping that could be labeled an indigenous "middle class," and it certainly does not suggest the presence of a true bourgeoisie. In addition, these aggregate figures obscure the so-called state bourgeois, so the number of independent, private-sector actors shrinks still further. Although some authors do argue that there is a middle class, no discernible group exists that might act as a

cohesive socioeconomic block outside the influence of the state.[29] Indeed, several African middle and senior managers and industrialists have expressed exasperation at the lack of unity and cooperation among this would-be class.[30] Thus, while some semblance of class formation has occurred in Zimbabwe, the coalescence of ideologies within various social strata and the consequent crystallizing of class identities are lacking.

Three closely interrelated factors explain the failure of middle-class development in Zimbabwe, the inability of this nascent class to dislodge neopatrimonialism, and the consequent limited democratization: (1) co-optation of blacks active in the private sector; (2) the alliance between the state and white settler interests; and (3) active suppression of black middle-class development by the state. Each factor is the result of deliberate action by state leaders that is intended to maximize the gains available to them. Such actions are geared, therefore, toward ensuring the continued hegemony of the ruling party and the maintenance of neopatrimonial rule.[31] Sustaining neopatrimonialism, however, exacts a tremendous cost on society and, eventually, on the regime itself.[32]

Co-optation

Crawford Young's review illustrates that a modifier such as "state" or "bureaucratic" is almost invariably attached to the discussion of the bourgeoisie in Africa, "which highlights the connection to the state."[33] The separation of the state from the economic sphere—a prerequisite for democracy according to some analysts—is lacking in Zimbabwe.[34] Many of the key blacks in Zimbabwe's private sector who could form the core of a genuine middle class have been co-opted by the state through various patronage networks.

Strange Bedfellows

The state has sought to preserve the status quo by protecting the economic interests of the settler bourgeoisie. The suggestion that the state has formed an implicit alliance with settler business and agricultural interests in Zimbabwe is not a new one, however controversial. In fact, this thesis is expounded convincingly by Tom Ostergaard in his analysis of the textile and clothing sectors, and it is also suggested in the work of Brian Raftopoulos and Sam Moyo.[35] What remains unexplored in existing studies, and is inherently difficult to quantify, is the extent to which state corruption benefits the *white* middle-class community.[36] The state and its officials clearly reap certain benefits from this relationship. Similarly, whites, who control much of the country's wealth and productive capital while posing no threat to ZANU's political hegemony, are provided with a measure

of stability and insulation from popular (and, ironically, government) pressure for "indigenization" of the economy.[37]

Suppression

The state's alliance with white interests is the point of departure for the third factor explaining the void of middle-class activity in Zimbabwe: a more calculated *suppression* of a black middle class by the ruling party. A critical component of this argument is that the rhetoric emanating from the government advocating a more equitable redistribution of resources is largely empty. This view of the indigenization "movement" contrasts sharply with the one promulgated by the media, both internationally and especially within Zimbabwe, in which president and party alike are portrayed as being strongly committed to indigenization. The vitriol from many leading proponents of "indigenization," both in and out of government, is often so severe that one might easily conclude that whites are an endangered species, at least economically, in Zimbabwe. This is, however, an inaccurate portrayal.

A number of scholars endorse the view that bourgeois/middle-class interests have not gained expression in Zimbabwe, but they attribute this to "benign neglect" by the state, rather than to intentional suppression.[38] However, empirical evidence supports the argument that, concurrent with its role in preserving white, private-sector hegemony, the state has acted in ways that have deliberately inhibited the development of black business interests and enterprises—on both a large (potentially "bourgeois") and a small (petty bourgeois) scale. If such development were encouraged, these individual efforts could form the basis for an emergent middle-class ideology. Instead, the government has co-opted indigenous economic actors and marginalized those that it has been unable to co-opt.

Of these three factors, class suppression appears to be most significant in explaining the retarded development of a black middle class in Zimbabwe and the consequent failure to advance democratization. The co-optation factor is closely related, but it has been addressed thoroughly elsewhere.[39] Thus, class suppression will receive a more systematic treatment throughout the remainder of this analysis. The nature of the alliance between the state and white settlers requires further examination and represents an important and potentially fruitful avenue for further study.

Governance, Class, and Indigenization

ZANU(PF)'s suppression of the middle class can be viewed through a rational choice framework. At least in the short term, the party has tried "to

preempt the development of alternative centres of power in the society," and to a considerable extent, it has been successful in this regard.[40] Such actions contribute substantially to the ruling party's ability to maintain its unrivaled hold on power by diluting potential opposition and by maintaining unfettered linkages to its client groups. At the same time, the state enjoys some of the benefits of white economic power, it has co-opted a number of black actors, and it has maintained its appeal to the rural masses (i.e., peasants and small-scale farmers) by holding out the promise of indigenization.

For the state, however, there are definite limitations to this strategy. The effective suppression of an indigenous political and economic middle class has put ZANU(PF) in an increasingly precarious position. Unprecedented urban unrest, increased unemployment, and a historic victory by a political independent in a 1995 parliamentary election demonstrate that ZANU's grip is weakening, if only slightly, in the urban centers.[41] Even among peasant communities, there is a growing (but far from complete) realization that many of the promises that accompanied political independence, particularly that of land redistribution, have thus far been empty ones; fewer than 60,000 peasant farmers have been resettled since 1980.[42] It is unclear whether the proliferation of negative sentiments will lead to agitation and political unrest or merely to increased apathy.

The state-bourgeois elite currently attempts to recycle itself by co-opting key social actors. However, even among these co-opted elements of the "governing group," ZANU(PF)'s support may be threatened by its own shortsighted policies.[43] Economic decline and the conditionality imposed by structural adjustment have reduced the opportunities and the resources available for state patronage. Gross domestic product (GDP) growth averaged only about 2 percent annually in the early 1990s, and government revenues have fallen, largely due to the continued financial losses of parastatals. The government's access to additional resources is further restrained as Zimbabwe enters the second five-year phase of the Economic Structural Adjustment Program (ESAP), with its requisite austerity measures.

The diminishing resources available for "funding" co-optation may compel the state to rely more on class suppression instead. Paradoxically, however, ZANU(PF) can employ this alternative tool only sparingly. As Bratton and van de Walle assert, "the operations of neopatrimonialism tend to create simultaneously a defensively cohesive state elite and a potential pool of alternative leaders outside of the state. The neopatrimonial practice of expelling rather than accommodating dissenters is a primary cause of the emergence of organized opposition."[44] Thus, the more the state is compelled to "expel dissenters" and attempts to marginalize defiant capitalists, rather than redouble its efforts to accommodate them, the more it sows the seeds of its own demise. As neopatrimonial rewards become increasingly

exclusionary, a "recipe for social unrest" emerges, and the regime will have difficulty maintaining stability.[45]

Hyden notes that it is only through market-based principles that countries can empower people who "will constitute the core of a local capitalist class and may serve as the pacesetters of development by rising above clan and neopatrimonial politics."[46] Indeed, the promotion of an independent, indigenous capitalist class appears entirely consistent with the adoption of ESAP in 1990 and the concomitant abandoning of African socialism in the same year.[47] However, the market economy in Zimbabwe has instead created pockets of black nouveaux riches tied to the state.

Furthermore, ESAP has contributed to the cementing of inequalities inherent in the status quo, as whites continue to own a disproportionate share of economic resources. Fewer than 4,000 white farmers and white-owned companies control some 11.2 million hectares of agricultural land (nearly 35 percent of Zimbabwe's total), most of which is situated in the most fertile regions of the country.[48] Within the corporate sector, 62.5 percent of senior management is white, although blacks dominate middle and junior management positions.[49]

Precise figures are not available for the racial composition of company ownership, but in the manufacturing sector, "local private individuals" own 60 percent, foreign companies 22.5 percent, and the government 11 percent of the firms.[50] Research indicates that "the Government has not radically altered the ownership pattern of the Zimbabwe economy . . . [and that] foreign and local 'white' capital are still predominant in key sectors of the economy, namely agriculture, mining, manufacturing, construction, distribution, services, finance and commerce."[51]

Despite these contradictory statistics, the rallying cry for ZANU(PF) has remained "black empowerment" since independence, and ironically, the government frequently blames the limited black advancement on whites. In the 1996 presidential elections, in which incumbent Robert Mugabe ultimately ran uncontested, the preelection rhetoric against white domination of the economy, which has come to be an integral part of Zimbabwean elections, was in plentiful supply, becoming most heated when ZANU, by inciting populist, antiwhite resentment, claimed that it was the only party that could deliver black empowerment. Yet, on such issues, ZANU is in fact running against itself, as Mugabe and his party have failed to redistribute white-owned assets, as they occasionally threaten to do. Of greater concern, the government has also failed to create meaningful wealth among blacks outside of a small, state-based elite. In fact, whites have done considerably better, as a whole, under Mugabe's rule. This is perhaps most true in the large-scale commercial farming areas, where initial fears of black rule were greatest.

Jeffrey Herbst notes that settler interest groups, especially farmers,

have remained influential since the advent of black rule, and he points out that black interest groups have remained comparatively weak, a finding supported by Tor Skalnes.[52] This influence and the implicit favoritism that it reflects were presumably changed by the passage of the landmark Land Acquisition Act in 1992. The act ostensibly eliminates a number of the protections that had been granted to white commercial farmers by the independence constitution, allowing the government to acquire land and pay for it over a period of up to five years. However, only a handful of white farmers have been subjected to the provisions of the act since its inception.[53]

The regime's challenge is to continue the delicate balancing act among its differing constituencies. It must play the interests of urban coalitions off of rural ones, and of black coalitions off of white ones, in order to maintain power. The promise of indigenization must be made repeatedly, but not kept. Following a line of inquiry developed by Nicos Poulantzas, Ostergaard contends that "the 'governing groups' feared a challenge from the rise of a black industrial bourgeoisie. Had an indigenous black bourgeoisie arisen, however, it might have been able to penetrate the state apparatus and contest the protected position of the governing group [i.e., ZANU(PF)]."[54] The existence of a white industrial bourgeoisie, conversely, is indisputable; this group had been nurtured by the modestly successful import-substitution industrialization policies under the minority rule of Ian Smith.

The black empowerment initiatives of President Mugabe and ZANU(PF) illuminate the failures of indigenization programs in Zimbabwe, which is still immersed in the unfulfilled rhetoric of liberation. Many interview respondents believe that Mugabe himself remains dedicated to genuine indigenization but that he is institutionally constrained by members of the cabinet, who stand to lose a great deal if a legitimate, independent bourgeoisie supplants the state bourgeoisie. Others believe that Mugabe maintains his strong ideological commitment to socialism and is therefore reluctant to see the expansion of an exploitative black capitalist class. Neither conclusion, however, is consistent with the popular image of Mugabe as nearly omnipotent. The alternative explanation is that Mugabe is not actually committed to indigenization on a meaningful scale.

In fact, numerous white-owned firms or historically white-dominated sectors of the economy have been shown considerable favor by ZANU(PF). Ostergaard notes, for example, that when white-owned textile firms faced difficulties, the government, via the Industrial Development Corporation, provided capital injections. On the other hand, the government showed only lukewarm support for the Small Enterprise Development Corporation (SEDCO), the parastatal it established in 1984 to assist the development of small-scale enterprises: "The limited scope of SEDCO's activities, and its severe loan terms, support the assertion that government was not interested in promoting black industrialists."[55]

Ostergaard hints that some form of class suppression has occurred and acknowledges white benefit, but he then asks:

> What difference does it make . . . if such domestic capitalists are not of the same color, religion, language group, or whatever as the dominant elements in control of the state? . . . [B]eing "outsiders" has some positive advantages for capitalists . . . : (1) outsiders *must* make money, not being eligible for power by ascriptive routes, (2) they may do so efficiently, being free from the precapitalist obligations to others in society . . . and (3) their external links may confer technical-economic advantages on them as capitalists.[56]

Such assessments fail to confront the reality of Zimbabwean politics and the implied promise of its liberation struggle. By neglecting to ask, for example, what the *broader* implications of economic participation and equitable distribution of resources in Zimbabwe are, Ostergaard fails to analyze the implications for democracy in Zimbabwe (or Africa in general) of indigenous middle-class marginalization.

The Myth of Indigenization: The Rise and Fall of the IBDC

The Emergence of the IBDC

It has been estimated that, in 1980, 10 percent of national wealth was in the hands of blacks, 70 percent under the control of foreign firms, and 20 percent owned by white Zimbabweans. By 1990, foreign ownership had been reduced. The space created by the exodus of foreign firms following independence, however, was filled not by blacks, but by local whites. Popular perception has it that "whites control 98 percent of Zimbabwe's economy," though this figure appears somewhat exaggerated.[57] In an effort to reverse this trend, an initiative called the Indigenous Business Development Centre was launched in 1990 by a group of Harare-based businesspeople with the endorsement of the government. The IBDC's stated objectives were to reduce unemployment, alter the concentration of business interests and capital in white hands, and improve the rate of GDP growth, which had averaged around 1 percent per year in the latter half of the 1980s. From its inception, the IBDC mission was not to take over large companies; there was little preoccupation with acquiring assets owned by the white community, with or without adequate compensation. Rather, the IBDC's leaders expressed an interest in increasing the absolute size of the economic pie, not in diminishing the relative share thought to be controlled by whites.

The IBDC message emphasized the positive goals of black empowerment and expansion of the Zimbabwean economy. According to a spokesperson, "business can no longer be the preserve of a few. We want to

create jobs for our children. We want to also participate in the joint ventures with external investors. In short, indigenous business people want to fully participate in the ownership and creation of wealth."[58] Among the early goals of the IBDC was the desire to equip indigenous businesspeople with resources, primarily by providing them with access to capital, markets, management skills, training, and technology.[59]

Studies on indigenization in Zimbabwe have not examined the role of the IBDC in depth, especially its rapid rise and precipitous decline. In its early days, the IBDC was an example of an attempt by black business elites—the core of a would-be middle class—to establish a niche for themselves, albeit with some cautious state support. When the organization began to flourish and become independent of state influence, however, Mugabe's government moved quickly to weaken its popular appeal and diminish its potential threat.

The IBDC leadership had envisioned an economy that would be predominantly in indigenous hands by the end of the decade. Overall, their approach was well received, and it garnered the ostensible support not only of the government, but of the international community as well, represented by the World Council of Churches, Britain's Office of Overseas Development Assistance, and others. The IBDC's message also had broad appeal among its potential constituents, namely, black Zimbabweans with an inclination toward business or entrepreneurial activities.[60] Though launched in December 1990 by only a handful of individuals, within six months, the IBDC could claim over 3,000 members. By December 1991, that number had grown to 5,300 members. The leadership boasted that it was recruiting 20 new members daily, each paying a subscription fee of Z$100.[61]

From the outset, the IBDC aspired to engage in more than inward-looking, self-help activities, and it also undertook efforts to directly influence government policy. In conjunction with ESAP, for example, the IBDC advocated a coupon system to allow indigenous Zimbabweans to purchase shares in parastatal companies slated for privatization. Black investors lacked capital, connections, and experience, and so had less access to cash than local whites; they would therefore be issued coupons with which to purchase company shares, rather than relying on the open market. Similarly, IBDC-sponsored research conducted in 1992 revealed that 60 percent of Zimbabwe's exports were controlled by four white-run firms. This led the IBDC to pressure the government for legislation governing mergers and monopolies. By breaking up monopolies, black Zimbabweans would be given access to new export market opportunities.

Among the most urgent priorities for indigenous business is access to capital, and this figured prominently among the IBDC's early objectives. In 1991, the IBDC launched an initiative to form the National Economic Recovery Fund (NERF). NERF initially aimed at a capitalization of Z$100 million and was targeted primarily at viable projects among small- and

medium-scale enterprises. A number of foreign donors, as well as the Zimbabwe government, pledged large contributions. For purposes of transparency, the IBDC leadership determined that donor funds should be channeled directly to recipients through the commercial banks, and not through the IBDC. However, after the initial fanfare, the implementation of NERF, which was dependent on the release of donor monies, encountered problems. The program was held up by delays in obtaining the necessary government approvals.

The IBDC's intent was to dovetail each of its activities with the government's *stated* goals of indigenization and with the ESAP program. Each of its programs and policy positions should have placed the IBDC not in a radical position, but in the political-economic mainstream, especially as the organization's rise coincided with the government's adoption of ESAP. Given this apparent harmony of interests, the subsequent demise of the IBDC is all the more surprising.

A series of public disputes soon put the IBDC and the government at loggerheads. The first concerned NERF. The government (which was to act as guarantor) insisted that 75 percent of the disbursement should go to new businesses, a constraint that disqualified existing black entrepreneurs, who formed the core of the IBDC membership and who were in need of a capital infusion. In addition, the rate of interest on NERF loans was set at 15 percent. The IBDC and its constituents argued that the conditions placed on the NERF facility were unfair, especially when compared with a similar loan scheme that benefited the white business community. A short time before, predominantly white commercial farmers had been granted lower rates on a loan facility of Z$400 million.[62] The farmers were able to borrow at a rate of 5 percent, well below the market rate. Furthermore, the farmers' facility was disbursed in just two days, whereas NERF took well over a year, although it operated through the same commercial banks.[63] These glaring discrepancies resulted in accusations against private-sector banks, as well as the government, about the preferential treatment accorded to whites.

NERF funds were finally disbursed in February 1993, but this was followed by many allegations—directed at the banks, the government, and the IBDC leadership—about how the monies had been spent. Most of the funds were reportedly used by the banks to pay back existing debts owed to them by some of the would-be recipients. In fact, little or no money was used to fund new or existing businesses, and most IBDC members received nothing at all, despite their great hopes.[64] Members and leaders of the IBDC alike felt that they had been misled by both the government and the banks.

IBDC-Government Discord

In part due to its problems with NERF, the IBDC became more vocal in its criticisms of the government, and this was not well received.[65] When the

IBDC appeared to be an ally of the government and an endorser of ZANU(PF)'s "commitment" to indigenization, the relationship had been harmonious. However, once the leading indigenization body began to criticize the government, ZANU(PF) faced a major challenge to its credibility. The IBDC also ventured into issues of broader national significance, and its leaders began to feel that their organization was a force to be reckoned with. Indeed, it had a burgeoning membership, international support, and, most important, the apparent blessing of President Mugabe, who was the IBDC's official patron.[66] Commenting on ESAP in 1993, IBDC vice president Chemist Siziba stated, "We have already demonstrated that we are fearless when it comes to criticizing shortcomings in the implementation of ESAP. [At first,] we were treated as heretics, but we were vindicated when President Mugabe recently repeated similar concerns about the management of our national economy."[67] Such statements did not endear Siziba or the IBDC to the cabinet. One minister warned the IBDC leadership that "you are a threat to ZANU(PF)."[68]

It is unclear precisely when the relationship with the government turned sour. A number of former IBDC leaders expressed the view that, aside from the president and the pro-liberalization former finance minister, Bernard Chidzero, Mugabe's cabinet was always threatened by the IBDC, possibly for the very reason that the IBDC had grown too much and too quickly. Former and current IBDC leaders agree that the government played a role in undermining the organization, but they disagree over which elements in government were responsible. The IBDC was pilloried in the print and broadcast media, and as a result, public confidence eroded rapidly.

The current leadership claims that a media smear campaign led by the government-owned *Herald* newspaper and the Zimbabwe Broadcasting Company, under the influence of white backers, undermined the relationship. Specifically, they claim that the campaign against the IBDC was backed by foreign interests and local whites, but spearheaded by ministers in the government who benefit from connections to local whites.[69] One former IBDC leader claims that the ministers were threatened by the perception that businesspeople in general, and IBDC leaders in particular, harbored political aspirations. Both the minister of finance and the minister of commerce and industry publicly attacked the IBDC for lack of loyalty to the government.[70] IBDC leaders probably felt that they would be protected under the wing of President Mugabe, but Mugabe's support did not materialize.

Internal Crisis

In April 1994, the IBDC was faced with a leadership crisis as different factions contended for control of the organization. The situation revealed the deep divisions that had developed within both the indigenization movement

and the government. One of the two factions was led by Enock Kamushinda, who had been named secretary-general in April 1993, and by Ben Mucheche, the newly elected IBDC president. The other was dominated by outgoing president Siziba and his supporters. In brief, Siziba alleged that the new leadership had taken power without regard to proper procedures for succession. Kamushinda and Mucheche responded that Siziba was unwilling to cede authority and that they had been duly elected. Throughout these debates, widespread accusations of mismanagement of funds persisted, as did speculation that the cause of the leadership wrangle was a dispute over which individuals would control the disbursement of funds.[71] It is widely believed that the government helped to instigate the struggle by backing alternative candidates (namely, the Kamushinda faction) and forcing individuals whom it opposed out of the leadership, and eventually out of the IBDC altogether. One former IBDC official who had supported the Siziba faction pleaded to a reporter: "My friend, I want to live peacefully in this country. Right now my life is at stake and I have been ordered [by a cabinet minister] to stay out of IBDC business."[72] By the end of 1994, the demise of the original IBDC mission and leadership was largely complete.

Revival of the IBDC-Government Relationship

A more radical style characterized the "second generation" of IBDC leadership, which began to emerge when Kamushinda was elected secretary-general and was solidified with the victory of the Kamushinda faction in 1994. The level of racial antagonism emanating from the IBDC increased dramatically. Kamushinda, unlike the more accommodating leadership before him, took a much more aggressive stance toward indigenization, and his pronouncements became increasingly antiwhite. Many suspect that Kamushinda—who by 1996 had been named as one of the leaders of Mugabe's reelection campaign—was the government's preferred choice to lead the association. Certainly, his inflammatory rhetoric was (and remains) consistent with the government's *public* stance against white domination of the economy, and the party needed a private-sector spokesperson who could rail against white racism, while hailing ZANU(PF) as the only party capable of both protecting and furthering black interests. In this way, the second generation of IBDC leaders helped to legitimize the pro-indigenization credentials of ZANU(PF), despite the party's considerable failures in this regard since independence.[73]

Collaboration or Co-optation?

As the IBDC became increasingly antiwhite in its rhetoric, and as the internal crises of the organization became widely publicized, donors shied away from making additional commitments,[74] leaving the IBDC more reliant on

government support for project funding, if not staffing.[75] Yet the government made few financial commitments to the IBDC, entirely rejecting the IBDC's request for Z$800 million in concessionary loans from the 1995 budget, for example. Why did the government co-opt the leadership of the IBDC, effectively hijack its agenda, and then leave it starved for funds?

One might argue that the IBDC's destruction was entirely its own doing and that the government played no role in its demise. Indeed, from its inception, the organization was plagued by a number of institutional and administrative problems, including regional concentration, rapid growth, and an overly broad constituency.[76] Yet the question remains: why was there no tangible government support for an organization that so clearly articulated the government's stated goals? It seems more plausible that certain elements in the government deliberately undermined the IBDC's efforts in order to ruin the credibility of the institution and its founding leadership. Having done so, the IBDC could then be appropriately "reconstituted" into a more pliant and ineffectual organization, one that is now widely seen as a vehicle for advancement and accumulation based on neopatrimonial ties to the state.[77] Although the present secretary-general claims a current membership of over 4,000, most interview respondents in the Harare business community, both white and black, were unaware that the IBDC still existed in late 1995 and early 1996.

The IBDC began as a vehicle for the expansion of black business interests through small- and medium-scale enterprises, as well as larger business entities. It was a largely autonomous body that, through its own external connections to sympathetic donors and others, could have provided significant empowerment for black entrepreneurs independently of the state. That potential was the principal reason for its undoing. No one in the ruling party explicitly stated that they were threatened by "middle-class development," but they were clearly threatened by the IBDC. By embracing instead a state-bourgeois elite, the Zimbabwean government effectively stifled a promising vehicle for independent class advancement among blacks.

In its early years, the IBDC appeared to be a credible organization for changing the structure of the Zimbabwean economy. Its educated, technocratic leadership engendered positive reactions from donors, indigenous entrepreneurs, and, arguably, President Mugabe himself. However, the degree of hostility emanating from the government and white capital varied inversely with the IBDC's success and its advance as a possible harbinger of indigenous bourgeois development.

One implication that emerges from this and other studies is that white business interests allied with certain governmental/state interests to undermine the potential of the IBDC to act as the vanguard of an indigenous bourgeois class. The current generation of IBDC leadership has unequivocally condemned what it claims is a sinister, white-led "plot" against the organization. However, evidence of such an alliance, or of any direct influ-

ence of white economic actors on the failure of the IBDC's first generation, is extremely limited.

Despite their initial fears, white Zimbabweans have fared well under black rule. Over 80 percent of large-scale commercial farmers are white, and the sector has benefited from favorable pricing (even pre-ESAP) and loan schemes. Moreover, the massive confiscation of land that had been threatened has not taken place. In the manufacturing sector, which is also dominated by white-owned firms, Skalnes's analysis shows that private-sector associations, notably the CZI, had a major influence on the government's decision to adopt ESAP in 1991, which they strongly favored.[78] In addition, Britain, the United States, and the international financial institutions (IFIs) have been putting pressure on the ZANU(PF) government not to engage in any acquisition of white property that would resemble "seizure." Thus, for the most part, ZANU(PF) has only issued threats.[79] However, although the government's decision to protect white interests may be rational in the short term, in the long term it is implausible to expect that white firms alone can provide enough employment, innovation, and economic growth to support a population the size of Zimbabwe's.

The Case of Econet: Class Suppression and Cellular Phones

The unraveling of the IBDC demonstrates Zimbabwe's questionable commitment to indigenization and the continuation of neopatrimonial influences within both society and the state. The ongoing case of African businessman Strive Masiyiwa is similarly illustrative of the contradictions in Zimbabwe's indigenization program and the state elites' fear of independent centers of economic and political power. Like the IBDC, Masiyiwa exemplifies the crisis of bourgeois/middle-class development in Zimbabwe and the seeming intractability of neopatrimonialism. Because Masiyiwa was viewed as having a political agenda—despite his and others' protestations to the contrary—his experiences have broader implications regarding the intersection of politics and class.

Masiyiwa was one of the principal founders of the IBDC in 1990, and he was its first secretary-general, a post that he held until April 1993, but he resigned from the IBDC entirely in March 1995, citing the organization's loss of direction as his reason. An astute businessman and former employee of the Posts and Telecommunications Corporation (PTC), Masiyiwa had recognized an opportunity to provide a cellular phone network to Zimbabweans who could not rely on the antiquated and geographically limited PTC system. The PTC, like most parastatal organizations in Africa, is notoriously inefficient and incompetent.[80] Although Zimbabwe is relatively more developed than many of its neighbors, its communications infrastruc-

ture is among the worst in sub-Saharan Africa, with fewer than 12 telephone main lines per 1,000 people.[81] Individuals requesting phones, even in cosmopolitan Harare, may have to wait up to four years before receiving a line.

Through a new company that he created, Econet, Masiyiwa offered two tremendous advantages for Zimbabwean economic and social development. First, consistent with both the spirit and the letter of ESAP, Econet was an example of a private-sector individual, using privately secured funds, to initiate a business that would provide both employment and vital infrastructure. The estimated total investment by 1998 was expected to exceed Z$500 million, "making it the second largest private-sector investment since independence."[82] Econet would also relieve the overburdened, overtaxed, and inefficient state-run monopoly, perhaps even improving it by introducing market competition. Second, Masiyiwa's proposed cellular network presented a superb opportunity for indigenous advancement in Zimbabwe: the Econet project would create an estimated 2,500 jobs, either directly or through joint ventures. By late 1995, joint venture partnerships were being set up by which black entrepreneurs would form companies to provide support services to Econet, such as billing, marketing, credit, and customer service.[83] As with the IBDC, however, the government viewed Masiyiwa and his project as a threat to the particularistic interests of the ZANU(PF) inner circle.

Quashing the Entrepreneurial Impulse

Masiyiwa was blocked repeatedly from implementing his network by bureaucratic and legal obstacles orchestrated by the PTC and the Ministry of Posts and Telecommunications. In December 1995, Masiyiwa's company (Econet is the cellular company; the holding company has been known since early 1996 as T. S. Masiyiwa Holdings, Ltd.) was compelled to take its case challenging the PTC's monopoly to the Supreme Court for the second time. The court, which remains relatively independent of political influences, judged in favor of Masiyiwa and Econet, concluding that the government monopoly over communications was a barrier to freedom of expression as enshrined in Zimbabwe's constitution.[84]

With that victory, Econet set about final preparations to launch its service in March 1996. The company had a base station in Harare, Z$30 million worth of mobile phones warehoused, and 5,000 subscribers signed up, all of which represented an investment of over Z$250 million. But in February 1996, with Econet on the verge of starting operations, President Mugabe resorted to the Presidential Powers (Temporary Measures) Act (1986) to block the company's launch. The act made it illegal for anyone to operate a cellular phone network without permission, in the form of a license, from the Ministry of Posts and Telecommunications. The penalties

are severe: companies or individuals found operating without a license face fines of up to Z$100,000 (currently about U.S.$10,000), up to two years' imprisonment, or both. Econet did not have the newly mandated license, and the firm was told that it could take up to nine months to obtain one; the company risked losing Z$17 million per month while its network sat idle. Immediately after the act was gazetted, Masiyiwa's American partner, Telecel International, which had a 40 percent stake in the project, withdrew, facing threats from the minister of posts and telecommunications, David Karamanzira, that if they continued with the project, the company's executives would face arrest. International contractors involved with the project also stopped work.[85]

In the meantime, the government announced plans to introduce its own cellular network, a system that has since been fraught with problems. Numerous delays in the project's implementation have been caused as much by administrative incompetence and lack of technological capability as by outright corruption. The project lacked the network of Econet, and the tender process conducted by the government was marked by well-publicized irregularities that forced the PTC to solicit bids from potential suppliers for a second time.[86]

The Masiyiwa case has had adverse implications for other aspiring members of the capitalist class, as well as for governance, transparency, and economic revitalization in Zimbabwe. The government was clearly not forced to enter this sector due to an absence of capable private actors who could supply the necessary product or service. Instead, the minister's and ZANU(PF)'s actions represent a deliberate attempt to undermine Masiyiwa. Are these actions a reflection of "middle-class suppression" or merely a case of a personal assault on the interests of a single individual? Elements of both are present.

Personalities arguably did play a role in this conflict. Masiyiwa has a history of defying government attempts at control, and during his tenure as secretary-general of the IBDC, he did not endear himself to the elite within the ruling party. He was seen as the leader of an increasingly influential and potentially political organization. Yet there is no tangible evidence that Masiyiwa aspires to political office; then as now, he has continually denied that he has any political aspirations or any interests besides the successful launch of his business venture. Masiyiwa maintains that "I am a businessman, not a politician; I am not interested in challenging government."[87]

In the Zimbabwean context, however, Masiyiwa's defiance acquired strong political overtones. The state's response reveals that the durability of neopatrimonialism and the centralization of state power have several broader implications for the prospects for middle-class development and democracy in Zimbabwe. The attack on Masiyiwa's business interests was a thinly veiled attempt to reassert the government's hegemony and its monopoly over the communications market. Any obstacle that could delay or derail

Econet would allow the government to "catch up" with its own project. Second, and more important, control of the communications network provides access to additional spoils, such as the opportunity to profiteer via the tender procedure. Indeed, "top government politicians are opposed to Masiyiwa's project for no other reason than that their friends, relatives or bribers were beaten to it," said one commentator.[88] There were suggestions in the press, also reflected in interviews I conducted, that the problems between Econet and the government are attributable, at least in part, to Masiyiwa's unwillingness to buy off certain political interests to ensure that his business launch proceeded smoothly. "I don't pay bribes," Masiyiwa said, asserting also that government "is surrounded by influence-peddlers looking for a cut of any contract."[89]

Third, these events expose the doublespeak of indigenization: although "black empowerment" is a professed goal, with some exceptions, only those whose loyalty to the state is demonstrated by their co-optation into the patronage network are granted the political space in which to operate. The government's treatment of Masiyiwa, in contrast to the rewards it has bestowed upon less ambitious but more "loyal" individuals, has had the effect of suppressing the emergence of other indigenous entrepreneurs with similar productive aspirations. To gain access to the Zimbabwean market, Telecel eventually abandoned Masiyiwa and took on a local partner acceptable to the government. Other than the state bourgeoisie, few Zimbabweans have benefited from such shortsightedness.

Where neopatrimonialism predominates, truly independent businesspeople and business ventures, especially those competing with the state, are not welcome (excluding small-scale enterprises, which may escape notice). In an alarming number of major business deals, it is an open secret that bids will be rigged and that tenders will eventually be awarded to political cronies. This scenario is not limited to the cellular phone industry; it has recently been repeated in the awarding of the contract to build a new international airport in Harare (the initial bid was awarded to a firm owned by Leo Mugabe, the president's nephew), the lease of planes for the national airline, and a pay-television scheme, to name a few. Siziba has lamented that "'people with the right connections are getting [state] tenders ahead of those without. . . . A black person without the capacity to handle the project wins a tender. He does not have the technology or capacity to do it, but just because of his close association with government he gets it."[90] To add to the paradoxical nature of indigenization in Zimbabwe, when the black "favorite son" firms that win these contracts are unable to complete them, they often turn to white firms that possess the technological capacity to finish the project. Alternatively, the entire project flounders.

Zimbabwe's most "successful" black businesspeople are thus notable for their close ties to the state, and these linkages are generally well known. As a recent editorial pointed out, "the lobby to 'indigenise' has become . . .

trivialised by loud-mouthed characters . . . whose rise from ashes to riches is most suspicious."[91] Many such businesspeople are described as "commission agents" and "briefcase businessmen" who do not actually produce anything or create jobs.[92] Since they are already co-opted into the state network, they pose no political threat to the government. Furthermore, as willing participants in state-based patronage, their economic loyalty is ensured. In fact, these people will likely be the heirs of the ZANU(PF) political machine when the torch is eventually passed from the current generation of leaders who rose to power during the liberation struggle.

Conclusion and Prospects

Zimbabwe's proclaimed crusade for black empowerment is a dubious one. Despite 17 years of rhetoric, little has been achieved, and indigenization remains an elusive goal. This professed goal will be unreachable without a major reversal in both policy design and implementation. It has been suggested in this chapter, however, that policies to encourage black empowerment will not be forthcoming because they would facilitate the formation of an indigenous and independent black middle class whose views are seen by the ZANU(PF) elite as antithetical to its own. Strive Masiyiwa's experience is more than just an interesting story. He represents something greater: independent capital, self-sufficiency, and a role model for other similarly oriented and motivated individuals.

There are other variables that must be taken into account when assessing ZANU(PF)'s recalcitrance on the indigenization issue and the fostering of an indigenous middle class. First, many observers of the Zimbabwean scene, and especially ZANU(PF) partisans and sympathizers, have cited the restrictions placed on the country by the Lancaster House Constitution, which emerged out of the British-brokered transfer of power from the Zimbabwe-Rhodesia government to independent rule in 1980. The concessions granted by ZANU and the Zimbabwe African People's Union (ZAPU) negotiators and embodied in Lancaster included protection of the property rights and business interests of the settler minority, as well as other stipulations, which the independent government agreed not to alter for a 10-year period. These provisions were clearly a constraint on efforts to promote "indigenization." Nevertheless, Zimbabwe was able to resettle black peasants on 2.2 million hectares of land within two years of independence. In the 15 years since, however, they have resettled fewer than 1 million additional hectares. Thus, since 1980, only 56,000 families have been resettled on 3 million hectares of land.[93]

The second variable constraining indigenization, ESAP, is more recent. This program has limited the availability of funds to support indigenous projects, social services, and welfare expenditure. A third confounding fac-

tor is the lingering commitment to "scientific socialism," once enshrined in ZANU(PF) doctrine, which sees capitalist accumulation as reprehensible. Closer examination of each of these variables, however, reveals that they are of only limited relevance to the current failure of indigenization and middle-class development.

The ZANU(PF) regime can find comfort in its white "constituents" in part because their numbers are meaningless from an electoral standpoint, but more importantly, because the regime enjoys the benefits of a relatively vibrant white economic class. ZANU(PF) is motivated by the Machiavellian impulse to maintain power and preserve the rewards that go with it. The government and the party are apparently willing to subvert the long-term economic and political interests of the country and its 11 million black citizens in pursuit of this short-term goal. But achieving this goal and keeping the economy in motion require certain tools, one of which is the support of the white business community.

ZANU(PF)'s principal tool for maintaining political power, however, is the "ideology" of indigenization and the use of radical rhetoric to portray itself as the champion of the country's seven-million-odd rural dwellers, the vast majority of whom are poor. Indigenization as currently practiced in Zimbabwe is a neopatrimonial game that rewards inefficiency and depresses productivity. Corruption becomes more likely and more prevalent in the absence of political and economic competition; ZANU's monopoly on power allows it to act with virtual impunity.

While it enriches state elites and a handful of clients, in the long term neopatrimonialism is economically debilitating and inherently antidemocratic. The interests of an independent bourgeois/middle class may prompt it to play a role in facilitating a transition to a more democratic system by weakening neopatrimonial structures, although this is not the only element required to facilitate such a transition. How can Zimbabwe and similarly situated polities extricate themselves from the vicious cycle of neopatrimonialism and weak, dependent capitalist classes?

Democratic transitions from neopatrimonial regimes are difficult to initiate and still harder to sustain. The paradox of neopatrimonial rule, however, is that state-based elites inevitably confront diminishing returns as patronage resources dwindle, thus sowing the seeds of conflict.[94] Regimes might allow independent middle-class development as a possible alternative to this conflict. On the other hand, as long as ZANU(PF) tries to contain these societal elements and remains an independent, indigenous bourgeois class, it must also stifle economic interests and political expression in defense of those interests, and this is potentially explosive.

The pervasiveness of neopatrimonialism in Zimbabwe also calls into question Bratton and van de Walle's conclusion that Africa's former settler oligarchies are the most likely to produce strong democratic outcomes. For democracy to flourish, rather than simply extending the franchise to black

populations, steps must be taken by the postsettler state to allow the development of middle-class interests among these populations.

The bourgeois revolution need not be a violent one. However, President Mugabe has continued to make largely unfulfilled promises to the masses for more than 17 years. Is he, ironically, fomenting revolutionary impulses among the masses by his very rhetoric? In a very real way, the president is creating a revolution of rising expectations among the rural poor who make up Zimbabwe's majority. It is a greater irony still that political liberalization, achieved in part through middle-class development, could be his safety valve.

Notes

1. See Harbeson et al., eds., *Civil Society;* Bratton, "Beyond the State"; and Chazan, "Engaging the State." A few authors have deviated from the generally hopeful assessments, notably, Callaghy, "Civil Society, Democracy, and Economic Change."

2. There has also been a preoccupation with elections as the culmination of democratization, rather than as a point of departure. This was particularly so in early analyses of transitional elections. More recently, scholars have recognized that elections are, in some respects, the *beginning* of democratization. See Barkan, "Kenya"; Rosenberg, "Beyond Elections"; Klein, "Who's Afraid"; and McMahon, "Lessons Learned."

3. This research was supported by the Institute for the Study of World Politics and Emory University and is based on fieldwork conducted as a visiting research associate, Department of Political and Administrative Studies, at the University of Zimbabwe from September 1995 to April 1996. Helpful comments on an earlier draft were provided by Richard Joseph, Sarah Gill, and three anonymous reviewers.

4. Young, "Ethnicity."

5. Kasfir, *State and Class;* Lubeck, ed., *African Bourgeoisie.*

6. Schatz, "Pirate Capitalism"; Young, "Ethnicity"; and Lubeck, ed., *African Bourgeoisie.*

7. Bratton and van de Walle, "Neopatrimonial Regimes"; Joseph, *Democracy and Prebendal Politics.*

8. Bratton and van de Walle, "Neopatrimonial Regimes," p. 462.

9. Dahl, *Polyarchy.*

10. Sylvester, "Whither Opposition?"; Raftopoulos, "Zimbabwe." Despite this, two opposition candidates managed to defeat ZANU candidates in the 1995 elections. It is likely that these were, however, exceptional cases.

11. The 1996 presidential poll, highlighted by Robert Mugabe's ultimately unopposed candidacy, failed to attract the public to participate in the superfluous act of voting. Turnout was less than 20 percent of eligible voters.

12. Bratton and van de Walle's basic assumption, that prior regime type conditions both the likelihood of initiating a transition and the chances for its success, is borne out by recent trends on the continent.

13. Mills, "New Middle Class," p. 214; Rueschemeyer et al., *Capitalist Development.*

14. Rueschemeyer et al., *Capitalist Development,* p. 6.

15. Glassman, *Middle Class and Democracy;* West, "Middle-Class Formation."

16. Conaghan, "Capitalists, Technocrats, and Politicians." See also Harris, "New Bourgeoisies?"

17. Bratton and van de Walle, "Neopatrimonial Regimes," pp. 467–468.

18. Bratton and van de Walle, "Neopatrimonial Regimes."

19. Hyden, *No Shortcuts,* p. 22.

20. Moore, *Social Origins;* Rueschemeyer et al., *Capitalist Development.*

21. Numerous analyses have concentrated on the role of ethnicity as a barrier to the achievement of a stable democratic polity. The problems of ethnic heterogeneity and ethnic conflict militate against the very formation of alliances based on class. See, for example, Hyden, *No Shortcuts;* Young, "Ethnicity"; and Horowitz, *Ethnic Groups.* With one ethnic group clearly in the majority (the Shona represent roughly 78 percent of the population), one might expect that a major obstacle to class development is absent in Zimbabwe, and this should aid its emergence.

22. Among indigenous businesspeople in Kenya, *state*-bourgeois elements, not independent business classes, predominate. See Himbara, *Kenyan Capitalists,* and the contributions to Lubeck, ed., *African Bourgeoisie.*

23. This finding is consistent with Herbst, *State Politics,* although it is worth noting that historian Michael O. West argues that by 1965, there had emerged in Southern Rhodesia "a self-conscious and corporate African middle class" in opposition to both white settlers and African peasants and workers" (West, "Middle-Class Formation," pp. 2–3).

24. Harris, "New Bourgeoisies?"; Raftopoulos, "Zimbabwe"; and Strachan, "Report on the Impact of Redressive Action."

25. Based on author's calculations. The major categories excluded are agricultural employees, miners, service-sector workers, and blue-collar employees.

26. Government of Zimbabwe, *Census 1992.*

27. Harris, "New Bourgeoisies?"

28. ZCTU, "ZCTU Report."

29. Ranger, *African Voice,* finds a well-developed middle class. West, "Middle-Class Formation," p. 425, argues that its emergence was "signified by the demand for full transfer of state power." However, such unity of purpose and shared consciousness were perhaps more discernible in 1965, the year that West's analysis concludes, given the unifying objective of independence. He states that "black capitalists now claim the government of independent Zimbabwe as their own." Who forms this class? What are its political interests? With the advent of majority rule, the shared consciousness, born of a struggle for independence rather than an ideological class movement, has dissipated. These arguments seem specious without attaching the modifier "bureaucratic." A "fully emerged black middle class" in Zimbabwe seems never to have evolved beyond its formative stages.

30. Interviews by the author, Harare, 1996. Most respondents also criticized the state.

31. The seminal work on the African state as rational actor is Bates, *Markets and States.* He argues that (prestructural adjustment) states made the rational choice to maintain power by subsidizing, and therefore placating, urban populations at the expense of agricultural producers.

32. Bratton and van de Walle, "Neopatrimonial Regimes."

33. Young, "Ethnicity," p. 467.

34. Ronald Glassman argues that the concept of the "power-limited" state—that is, the basic separation of the economic sphere from the "means of violence"—is a basic tenet of democratic systems and is derived chiefly from John Locke, but

also from the writings of Adam Smith, David Ricardo, and Jeremy Bentham (*Middle Class and Democracy,* pp. 11 and 369).

35. Ostergaard, "Role of the National Bourgeoisie"; Raftopoulos, "Zimbabwe"; and Raftopoulos and Moyo, "Politics of Indigenization."

36. Evidence of black state–white society corruption linkages force a revision in our analyses of corruption and patronage in Africa. Such findings fall outside the traditional studies of corruption in Africa, as well as analyses of comprador classes acting in concert with international actors (white Zimbabweans are themselves residents and citizens).

37. It is difficult to determine at what point the Zimbabwean government helps whites, however indirectly, in order to preserve macroeconomic health, and at what point such interaction becomes complicitous. However, if the government publicly conceded the economic imperative of empowering (or at least maintaining) white economic interests, the party would damage itself politically vis-à-vis the rural poor.

38. This was the phrase used by Sam Moyo, personal communication, March 1996. See also Nicholas, "State and Development." See Ostergaard, "Role of the National Bourgeoisie," for a less benign interpretation.

39. Notably in Bratton, "Micro-Democracy?" Although one might suggest that co-optation is really a *tool* of middle-class suppression (in which case there would be only *two* principal factors), the argument can be made that co-optation/corruption can be separated from "class suppression." Bratton and van de Walle suggest that the cleavage between "insiders" and "outsiders" is a significant one. Those who dissent and are accommodated (co-opted) remain part of the neopatrimonial clique; those dissenters who are "expelled" become outsiders and may form the basis of an organized opposition ("Neopatrimonial Regimes," p. 464).

40. Mandaza, "State and Politics," cited in Sylvester, "Whither Opposition?" p. 409.

41. Thus far, this is an urban phenomenon. Former ZANU(PF) party member Margaret Dongo ran as an independent candidate and won the parliamentary election for Harare South in March 1995 against the ZANU candidate, Vivian Mwashita. See Sylvester, "Whither Opposition?" In the city of Mutare, another independent, Lawrence Mudehwe, won a heated race for mayor against the ZANU candidate in 1995.

42. In the rural areas, indigenization of the economy is equated generally with the issue of land reform, that is, redistribution of the large landholdings of white commercial farmers for subdivision by black peasant and/or small-scale farmers. Meaningful land reform has been a major failing of the ZANU government. See Moyo, *Land Question,* and Skalnes, *Politics of Economic Adjustment.*

43. Ostergaard, "Role of the National Bourgeoisie."

44. Bratton and van de Walle, "Neopatrimonial Regimes," p. 464.

45. Bratton and van de Walle, "Neopatrimonial Regimes."

46. Hyden, *No Shortcuts,* p. 53.

47. A number of authors have argued that "socialism" was an ideology of the liberation struggle, and not a coherent set of policies to be implemented once blacks gained control of the state. See, for example, Herbst, *State Politics;* Nyangoni, *African Nationalism;* Skalnes, *Politics of Economic Adjustment;* Ostergaard, "Role of the National Bourgeoisie"; and Sithole, "Zimbabwe." The president, however, frequently called upon the ethos of the liberation struggle, namely, the achievement of a socialist state. This position could be put forward as a bulwark against the expansion of an indigenous middle class, as well as to explain away ZANU's failure to develop independent black wealth. In fact, many Zimbabwean observers believe

that Mugabe himself still maintains his commitment to socialism despite the market-oriented changes over which he is presiding (author interviews). Nevertheless, given the acceptance of ESAP, that rationalization for the denial of capitalist class development no longer exists.

48. Raftopoulos and Moyo, "Politics of Indigenization."

49. Strachan, "Report on the Impact of Redressive Action" and "Report for the Confederation."

50. CZI, "Update."

51. Strachan, "Report on the Impact of Redressive Action," pp. 60–61.

52. Herbst, *State Politics;* Skalnes, *Politics of Economic Adjustment.*

53. See Skalnes, *Politics of Economic Adjustment,* esp. pp. 150–182, and Moyo, *Land Question.*

54. Ostergaard, "Role of the National Bourgeoisie," p. 17.

55. Ibid., pp. 127–129.

56. Ibid., p. 133.

57. These figures were reflected in Kapata, "Black Empowerment." Omitting the contribution to the economy from international firms and from the state, whose ownership is 22.5 percent and 11 percent, respectively (CZI, "Update"), a substantial share of the economy is controlled by whites. However, although white business interests dominate across the three leading sectors—large-scale commercial agriculture, manufacturing, and mining—no data is available to assess the validity of the 98 percent figure. For their part, white business interests have been reluctant to conduct studies that would bear out such findings (interviews by the author, Harare).

58. *Herald* (Harare), March 22, 1991.

59. The IBDC also set up the Business Extension and Advisory Services (BESA) in 1992 to provide skills training for indigenous small- and medium-scale enterprises.

60. The IBDC was actually made the umbrella organization for all of the indigenous lobbying associations, including those representing black farmers, transport operators, and others, whose leaders compose the IBDC board.

61. *Herald,* May 30, 1991.

62. *Financial Gazette* (Harare), October 22, 1992.

63. *Sunday Gazette* (Harare), February 7, 1993.

64. *Daily Gazette* (Harare), March 15, 1993.

65. For example, in December 1992, Strive Masiyiwa, who was then secretary-general of the IBDC, publicly accused the government of having a negative attitude toward the informal sector, the intended beneficiaries of the BESA program that the IBDC had set up to provide skills training for small- and medium-scale enterprises (*Herald,* November 12, 1992).

66. Note that it is unclear whether Mugabe himself, or only key members of his cabinet, was ever threatened by the IBDC. Indeed, former IBDC leadership takes great pains to point out that it was certain cabinet ministers, and not the president, who later targeted the organization.

67. Quoted in the *Sunday Gazette,* March 14, 1993.

68. Quoted during an interview with a former IBDC officer, Harare, February 22, 1996.

69. Interview, Harare, February 22, 1996.

70. Raftopoulos and Moyo, "Politics of Indigenization."

71. Ethnic rivalry has been cited as another contributing factor. A number of independent observers, though not Siziba himself, assert that Siziba's leadership was never accepted because he is Ndebele. Whether or not Siziba was challenged

because of his ethnicity, the wrangle was increasingly perceived in that light, especially after Vice President Joshua Nkomo, also an Ndebele, lent support to Siziba's faction, though to no avail.

72. Quoted in the *Daily Gazette,* December 16, 1994.

73. There are still examples of the IBDC criticizing the government, for example, with respect to the disbursement of funds in a loan provided by the African Development Bank. The facility, which totaled more than Z$700 million, was distributed to all businesses, regardless of race, based on borrower qualifications (see *Herald,* October 5, 1995). Nevertheless, the IBDC's harshest comments are today reserved for the white establishment: "Whites are happy for us to have only Political Rights, but will appear prepared to fight to the end to ensure that Blacks are denied Economic Rights" (*Herald,* IBDC advertisement, March 14, 1996).

74. Many, including the Irish, Norwegian, and Austrian donor agencies, have, however, maintained ties with the much less political, project-oriented BESA, which has no lobbying function. Although part of the IBDC, BESA maintains a degree of autonomy through its own management.

75. During its heyday, the IBDC had a professional staff of 17, including an executive director to handle administrative tasks, as well as a full-time economist. Today, although BESA has a small headquarters and staff, the IBDC does not even have an office, and the secretariat functions are handled by the secretary-general's own firm.

76. Part of this constituency was the international donor community. Some observers contend that the IBDC was forced to endorse the pet projects of its various donors, even if the projects were too small to be viable for the organization. Because it was donor dependent, the IBDC could not refuse to pursue them (Grierson and Moyo, "Advocacy").

77. The first secretary-general once stated that "in IBDC no one has to be in a leadership position for too long. Our organisation must be democratic and our movements are aimed at strengthening the organisation" (*Financial Gazette,* August 13, 1993). More recently, officeholders have shown some determination to retain their positions. See also *Financial Gazette,* October 4, 1995.

78. Skalnes, *Politics of Economic Adjustment.*

79. The forced acquisition of two white-owned farms was challenged in Zimbabwe's High Court in 1996. It was the first such challenge to the Land Acquisition Act of 1992, which granted the government sweeping powers. It was also the first application of the act once heralded as the antithesis of the Lancaster constitution.

80. Grosh and Mukandala, eds., *State Owned Enterprises.*

81. World Bank, *World Development Report, 1995.*

82. Supplement to *Herald,* January 25, 1996.

83. *Financial Gazette,* December 21, 1995.

84. Zimbabwe boasts a fairly independent judiciary, which not infrequently has handed down decisions unfavorable to the government, including, for example, the reversal of fraudulent elections—paving the way for the victory of independent candidate Margaret Dongo over the ZANU(PF) candidate—and the legal objections to the draft of the Land Reform Bill of 1992.

85. As reported by *The Economist,* April 13, 1996. *Africa Economic Digest* notes that the costs to Masiyiwa personally, his company, and his partners have thus far been exorbitant. In addition to incurring an estimated Z$4 million in legal costs to challenge the PTC in court, by the time of the presidential decree, equipment worth more than Z$87 million had been imported into the country. Econet claims

that the government will have to compensate the company for these imports, as well as for contracts that have been jeopardized (*African Economic Digest,* February 19, 1996, p. 18).

86. The first tender resulted in the contract being awarded to Ericcson Communications of Sweden, which was found to have interfered in the bidding process.

87. BBC Network Africa, July 18, 1996.

88. Quoted in Makamure, "In Search of Sound Leadership," *Sunday Gazette,* February 4, 1996 (Harare, Zimbabwe).

89. Quoted in *The Economist,* March 3, 1996.

90. Interview with Chemist Siziba in *African Economic Digest,* June 10, 1996.

91. *Financial Gazette,* November 2, 1995.

92. *The Guardian,* May 22, 1996.

93. Recall that the roughly 4,000 members of the Commercial Farmers Union, most of whom are white, own approximately 11.2 million hectares in total.

94. Bratton and van de Walle, "Neopatrimonial Regimes," p. 464.